money you have to work with each month. This allows you to create a budget, which will reflect how much you can afford and help you plan better. The tax that you eventually will pay doesn't end here, because what you receive as post-tax income is also subject to certain other taxes. While GST (Goods and Services Tax) is a reality on most things one spends on, there are municipal taxes to consider, if you own a property, and other taxes to consider based on your savings and investments.

THUMB RULE Divide the CTC by 12, then multiply it by the number you get on subtracting your tax slab from 100 and dividing that by 100. For instance, on a CTC of ₹12.5 lakh when the applicable slab rate is 20, the monthly post-tax income will be:

₹12,50,000/12 X (.8) = ₹83,334

CTC (Annual)	Income Tax Rate (%)	Monthly Post Tax Income
₹8 lakh	10	₹60,000
₹10.5 lakh	15	₹74,375
₹14 lakh	20	₹93,334
₹17.5 lakh	30	₹1,02,084

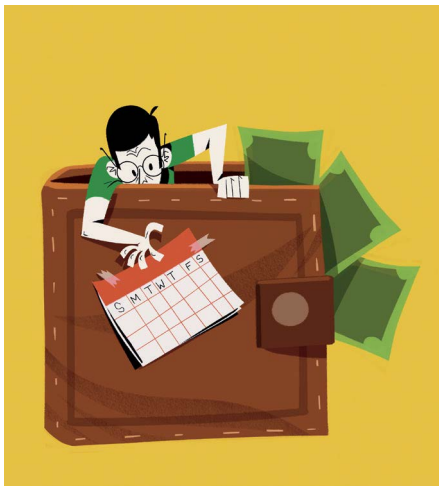
3 SAVINGS RATIO

Instead of knowing how much you are spending, you get to know how much you save each month as a per cent of the income you earn. Calculate your savings ratio by dividing the monthly savings by the monthly income. Add up all your savings—the one in the bank, your contribution to investments, PF and even cash that you may be keeping aside. For instance, if you save Rs 23,000 from your monthly income of Rs 95,000, the savings ratio works out at 24.21 per cent. You can work out your annual savings rate too in the same manner, which will help you save more to reach your financial goals.

There are variants to savings ratio, if you consider the savings as a percentage of post-tax income. Whatever the base, a higher savings rate is good for your overall financial well-being.



THUMB RULE You should have a minimum 10% savings ratio, with anything above 20% considered a good figure. Anything under 10% is a cause for worry and indicates you are depending on debt to fund your lifestyle. With age, your savings ratio should go up, which means at 48, your savings ratio should be more than what it was when you were 30.



4 AVERAGE MONTHLY EXPENSES

Expenses are of two types—fixed and variable. Fixed expenses include rent, phone bills, insurance premiums, school fee and any loan repayment. These cost the same amount month on month unless there are changes that impact these. These help you plan for and factor into your budget clearly. On the other hand, variable expenses includes groceries, because their price varies each month, expenses towards eating out, personal care and so on. Then there are certain fixed annual expenses such as a fixed increase in rental value and similar variable expenses under new heads and so on.

THUMB RULE
70-80% of your average monthly expenses should come from the fixed expenses to make your household budget work for you.

You can arrive at the average monthly expenses based on the combination of fixed and variable expenses. The main idea to know this expense head is to understand how much you spend to make better budgeting decisions. For instance, you could allocate an average grocery budget of Rs 12,000 including fruits and vegetables and then moderate consumption to stick to this budget. Likewise, by knowing your fixed expenses you know the minimum sum you need to save to make sure you are not dipping into savings and investments. At the end of the month, the surplus, if any, will help you to plan better or carry forward it to the next month to accommodate better for variable expenses.